

4. KNOW YOUR COSTS

You must know all your expenses in detail.

In the previous unit, we discussed the different types of costs. A detailed break-up will be required for each cost that has been calculated.

Knowing all your costs in detail will be useful for the investor to understand your business's unit economics.



Let's say you add numbers to the projection without thorough research.



After you raise the capital,

actual cost

assumed cost

You learn that the costs is much higher than what you have assumed. This maybe the difference in success and failure of the business.